



IAG – RAC Insurance

MN-65005

Notice of Competition Concerns – Summary

25 May 2026

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1. Introduction

- 1.1 On 3 March 2026, Insurance Australia Group Limited (**IAG**) lodged a notification with the Australian Competition and Consumer Commission (**ACCC**), in respect of IAG's proposal to acquire 100% of the issued share capital in RAC Insurance (**RACI**) from RACI Pty Ltd, a wholly owned subsidiary of the Royal Automobile Club of Western Australia Inc (**RAC**) (the **Acquisition**).
- 1.2 On 17 April 2026, the ACCC decided that the Acquisition is to be subject to Phase 2 review.
- 1.3 On 25 May 2026, the ACCC issued a Notice of Competition Concerns (**NOCC**) to IAG.
- 1.4 The NOCC sets out the ACCC's preliminary assessment of whether the Acquisition, if put into effect, would have the effect, or be likely to have the effect, of substantially lessening competition in any market, and the grounds on which the ACCC makes its assessment, referring to the evidence or other material on which those grounds are based.
- 1.5 This is a summary of the NOCC as required to be published on the Acquisitions Register.¹

2. Background

Acquisition

- 2.1 IAG proposes to acquire 100% of the issued share capital in RACI from RACI Pty Ltd, a wholly owned subsidiary of RAC, pursuant to a share sale deed dated 15 May 2025. Upon completion of the Acquisition, it is proposed that RACWA Holdings Pty Ltd (**RACWAH**), a wholly owned subsidiary of RAC, and RACI (which would be owned by **IAG**), will enter into an exclusive 20-year distribution alliance and brand licensing agreement, under which RACWAH would continue as distributor of the general insurance products issued by RACI to RAC members in Western Australia under the RAC brand (**Distribution Agreement**).
- 2.3 Total consideration is approximately \$1.35 billion comprising \$400 million for the Acquisition and \$950 million for the Distribution Agreement.²
- 2.4 The Acquisition would result in IAG underwriting motor insurance and home and contents insurance under the RAC brand. Products currently distributed by RAC under other underwriting arrangements (i.e., travel insurance, health insurance and life insurance) are excluded from the transaction, with the option for IAG to make an offer to supply these insurance products following expiry of the existing arrangements for these products.
- 2.5 The Acquisition does not involve the acquisition by IAG of RAC's roadside assistance business or its other operations including RAC's auto servicing and repair services, finance, retirement living, home security, batteries, tyres, travel and tourism

¹ See section 51ABZZI of the *Competition Consumer Act 2010* (Cth); 5-2(1)(e) of the *Competition and Consumer (Notification of Acquisitions) Determination 2025*.

² IAG, ASX release 15 May 2025 (Web page): <https://www.iag.com.au/content/dam/corporate-iag/iag-aus/au/en/documents/newsroom/may-15-iag-enters-strategic-alliance-with-rac-announcement-investor-slides.pdf>

operations. These businesses would continue to be independently operated by RAC and are not affected by the Acquisition.

- 2.6 IAG applied to the ACCC for clearance of the Acquisition in 2025 under the previous informal merger regime. In December 2025, the ACCC decided not to clear the Acquisition based on the information available to it at that time.
- 2.7 IAG notified the Acquisition under the formal merger regime, which commenced on 1 January 2026, and the ACCC is considering the Acquisition under this regime.

The acquirer – IAG

- 2.8 IAG is an ASX-listed (**ASX: IAG**) general insurance company operating in Australia and New Zealand. As of 30 June 2025, IAG had 6.3 million direct customers across Australia and New Zealand³.
- 2.9 IAG provides a range of personal and commercial insurance products in Australia directly under its owned brands, including NRMA, Swann Insurance, ROLLiN', Cylo and Lumley Special Vehicles.
- 2.10 Through its joint venture business, Insurance Manufacturers of Australia Pty Limited, IAG provides personal lines insurance in Victoria, distributed by its joint venture partner RACV.
- 2.11 In addition, IAG provides intermediated insurance through brokers, authorised financial representatives, institutions and agents under the CGU and WFI brands. IAG also underwrites insurance products distributed by financial institutions, including Bendigo and Adelaide Bank, People's Choice Bank and, since 2023, ANZ Bank.
- 2.12 On 22 May 2025, the ACCC decided not to oppose IAG's acquisition of RACQ Insurance Limited (**RACQ**) from The Royal Automobile Club of Queensland Limited. Following that acquisition, RACQ distributes general insurance products underwritten by IAG.
- 2.13 For the financial year ended 30 June 2025, IAG reported approximately \$17.1 billion in gross written premiums and net profit after tax of approximately \$1.4 billion.⁴

The target – RACI

- 2.14 RAC is a Western Australian based member-owned mutual association (and, effective from 26 June 2026, a company limited by guarantee) that provides roadside assistance, general insurance products, and other ancillary services to its members. RACI underwrites motor insurance and home and contents insurance for RAC.
- 2.15 RAC distributes other personal lines of general insurance underwritten by third party insurers. Namely:
- travel insurance underwritten by Tokio Marine & Nichido Fire Insurance Co. Ltd
 - health insurance underwritten by HCF
 - life insurance underwritten by NobleOak Life Limited, and

³ IAG, Annual Report 2025, 13 August 2025, p. 5.

⁴ IAG, FY25 results, 13 August 2025, p.1.

- pet insurance underwritten by IAG.

2.16 RAC has approximately 1.3 million members.⁵ For the financial year ended 30 June 2025, RAC reported approximately \$1.5 billion in gross written premiums⁶ and net profit after tax of approximately \$0.3 billion.⁷

Industry background

- 2.17 Personal insurance includes insurance products taken out by individuals and families, including home and contents, motor, travel, and pet insurance.
- 2.18 IAG and RACI are both underwriters of personal insurance and primarily overlap in the supply of home and contents insurance and motor vehicle insurance, and the acquisition of repair services. More information about the areas of overlap between the Parties is in Section 3 below.

Regulatory framework

- 2.19 Personal insurance is regulated as a financial service under the *Corporations Act 2001* (Cth), administered by the Australian Securities and Investments Commission (ASIC) and is subject to prudential requirements regulated by the Australian Prudential Regulation Authority (APRA) under the *APRA Act 1998* (Cth), which is responsible for the administration of federal insurance legislation including the *Insurance Act 1973* (Cth).
- 2.20 Personal insurers are required to comply with various regulatory requirements, including capital adequacy requirements, which require insurers to maintain sufficient capital reserves to ensure they can meet policyholder obligations and remain financially resilient under stressed conditions⁸ (i.e., insurers need to be in a position to manage a high volume of claims in the wake of a major natural disaster such as an earthquake or flood), and reinsurance requirements, which require insurers to manage underwriting and catastrophe risk.⁹

Motor vehicle insurance

- 2.21 Motor vehicle insurance includes comprehensive insurance, fire and theft, third-party property damage for cars and motorcycles, comprehensive insurance for caravans, trailers and motorhomes, and compulsory third-party (**CTP**) insurance in some states and territories. **Table 1** below sets out further details of the key category motor vehicle insurance products.
- 2.22 The merger parties overlap in the supply of all motor vehicle insurance products except CTP insurance, which RACI does not supply.

⁵ RAC, Annual Concise Report 2024-2025, [RAC website](#), p.5, 24 May 2025.

⁶ IAG, [ASX Release 15 May 2025](#), IAG website, p. 1, 15 May 2025.

⁷ RAC, Annual Concise Report 2024-2025, [RAC website](#), p.4, 24 May 2025.

⁸ Australian Prudential Regulation Authority, [Prudential Standard GPS 110 – Capital Adequacy](#), APRA website, January 2015.

⁹ Australian Prudential Regulation Authority, [Prudential Standard GPS 230 – Reinsurance Management](#), APRA website, July 2023.

Table 1: Motor insurance in Australia

Insurance product & related services	Description
Car insurance	Car insurance protects the policyholder against financial loss if their car is involved in an accident, is stolen or catches fire. Different levels of cover are available and typically include comprehensive cover (including damage to the car and other people's cars in an accident including where it is the driver's fault as well as other types of damage and theft), third party, fire and theft damage (covering damage to other people's cars in an accident, and damage caused by fire or theft). Some insurers additionally offer insurance specifically for vehicles used for ridesharing, and vehicles insured under a car insurance policy can in some cases be covered when used for ridesharing. CTP insurance, which is legally required in some jurisdictions including Western Australia, is generally considered a separate insurance product.
Other vehicle insurance	General insurers often offer specific policies depending on the vehicle type, for example, boats and heavy vehicles. The types of cover available are often similar to those available for car insurance.

Home and contents insurance

- 2.23 Home and contents insurance includes building (home) insurance, contents insurance, combined home and contents insurance, landlord insurance, renters' contents insurance, and strata insurance. **Table 2** below sets out further details of the key home and contents insurance products.
- 2.24 The merger parties overlap in the supply of all products except strata insurance, which RACI does not supply.

Table 2: Home and contents insurance in Australia

Insurance product & related services	Description
Home (building) and contents insurance	Home and contents insurance typically covers the building and contents in a single combined policy, including the risks outlined in relation to home (building) insurance and contents insurance below.
Home (building) insurance	Home building insurance typically covers the cost to repair or rebuild a home if it is damaged or destroyed by a covered

Insurance product & related services	Description
	incident, for example fire, water damage from leaks, floods and storms, and theft and vandalism, up to the sum insured. Policies may additionally cover accommodation expenses if the home is unliveable.
Contents insurance	Contents insurance typically covers the cost of replacing items in a policyholder's home, for example furniture, jewellery and electronics, which may be damaged in weather events such as floods, storm and storm surge, fire, leaks, and theft and vandalism. Some insurers also offer portable contents insurance, which covers items such as laptops, sunglasses and jewellery, which may be carried with the owner and lost or stolen while they are out.
Landlord insurance	Landlord insurance covers risks such as loss of rent during repairs, damage caused by fire, loss or damage to furniture and furnishings (e.g. carpet), damage from leaks, flood, storm and storm surge, stolen items and damage caused from theft and vandalism.

Distribution of insurance products

2.25 Insurers offer branded insurance policies to consumers through a number of channels including the following:

- **Direct distribution channels** involve the consumer purchasing an insurance policy directly from an insurance provider (underwriters) through one of its brands online, over the phone, or at a branch. Most general insurance policies are sold through direct distribution channels.
- **Intermediated/indirect channels** involve insurers entering into distribution agreements or partnerships with established companies that do not underwrite insurance policies, such as supermarkets and banks. The non-insurance company then uses its platform and distribution channels to facilitate the sale of general insurance products.
- **Brokers** provide advice and options to the prospective policyholder, and arrange appropriate policies through insurers.
- **Comparison websites and aggregators** act as a third-party intermediary between insurers and consumers searching for a range of insurance products online. Comparison websites active in Australia include Compare the Market, iSelect, Choosi, Canstar, and the Insurance Council of Australia's (ICA) 'find an insurer'.

- 2.26 In each case, the consumer’s insurance policy would be underwritten by the insurer, not the intermediary or broker.

Acquisition of repair services

- 2.27 Insurers acquire repair services as inputs to the supply of personal insurance. For home and contents insurance and motor vehicle insurance, these services include smash repair services, windscreen repair and replacement services, and building repair services.
- 2.28 Insurers generally acquire these services on a local basis through a series of non-exclusive arrangements with various third-party providers, typically local independent operators. However, some repair services are obtained through regional and national arrangements with providers such as O’Briens, Drive Group, and AMA Group, or national contractors who subcontract to local providers.

Insurance suppliers in Western Australia

- 2.29 Personal lines general insurance products are underwritten by insurers who are authorised under the Insurance Act 1973 (Cth) and regulated by APRA.
- 2.30 In Western Australia, in addition to IAG and RACI, suppliers of personal lines general insurance include established insurers and mid-tier insurers (sometimes referred to as “challenger” brands) as set out in **Table 3** below.

Table 3: Insurance suppliers in Western Australia

Insurer	Description
Established insurers	
Suncorp	Suncorp is a publicly listed insurance company and the second largest general insurer in Australia, after IAG. Suncorp’s gross written premiums in Australia and New Zealand totalled approximately \$15.0 billion in the 12 months to 30 June 2025. ¹⁰ Suncorp’s direct and indirect personal lines general insurance brands include Suncorp, AAMI, GIO, Bingle, Vero, Apia, CIL, Terri Scheer, and AA Insurance.
Allianz	Allianz is a wholly owned subsidiary of the German-based financial services company, Allianz SE. Allianz’s gross earned premiums in Australia totalled approximately \$6.25 billion in the 12 months to 31 December 2022. ¹¹ Allianz’s direct and indirect personal lines general insurance brands include Allianz, TIO, Westpac, NAB, St George, RAMS, Aussie, HSBC, Bank SA, Newcastle Permanent, RAA, Kia, Hyundai, BMW, Audi, and Mazda.

¹⁰ Suncorp, [FY25 Annual Report: Building futures and protecting what matters](#), Suncorp website, 14 August 2025, p. 5.

¹¹ APRA, [Annual general insurance institution-level statistics](#), [data set], APRA website, 2023.

Insurer	Description
QBE	QBE is a publicly listed insurer offering commercial, casualty and speciality, and personal lines insurance and risk management services. QBE's gross written premiums for Australia Pacific totalled approximately US\$5.2 billion in the 12 months to 31 December 2025.¹² QBE's direct and indirect personal lines general insurance brands include QBE, Australia Post, Stella, Mercedes Benz, Elders Insurance, and Kogan Insurance.
Mid-tier insurers (sometimes known as "challenger" brands)	
Auto & General	Auto & General is part of the international, privately held group BHL Holdings Limited, headquartered in the United Kingdom. Auto & General's gross earned premiums in Australia totalled approximately \$1.77 billion in the 12 months to 30 June 2023.¹³ Auto & General's direct and indirect personal lines general insurance brands in Australia include Budget Direct, Qantas, and Coles.
Youi	Youi commenced offering personal lines general insurance in 2008 and supplies home and motor insurance in most parts of Australia under its Youi brand. Youi's gross earned premiums in Australia totalled approximately \$1.24 billion in the 12 months to 30 June 2023.¹⁴ Youi is part of the OUTsurance Group that operates in Australia, South Africa and Ireland.
Hollard	Hollard is owned by the Netherlands based privately owned insurance business investment holding company, IVM Intersurer B.V. Hollard's gross earned premiums in Australia totalled approximately \$2.63 billion in the 12 months to 30 June 2023.¹⁵ Hollard's direct and indirect personal lines general insurance brands in Australia include Hollard, CBA, Real Insurance, Everyday Insurance (Woolworths), Bupa, Australian Seniors, and Steadfast.
Other insurers	
Adica, Chubb, Great Lakes, Liberty, Pacific, and Zurich	Other insurers operating in Australia include Adica, Chubb, Great Lakes, Liberty, and Zurich. Collectively, the companies' gross earned premiums in Australia totalled approximately \$4.92 billion in the 12 months to 31 December 2022. Pacific International also operates in Australia and its gross earned premium in Australia totalled \$0.23 billion in the 12 months to 30 June 2023.

¹² QBE Insurance Group, [QBE: 2025 Investor Report](#), QBE website, 19 February 2026, p. 4.

¹³ APRA, [Annual general insurance institution-level statistics](#), [data set], APRA website, 2023.

¹⁴ APRA, [Annual general insurance institution-level statistics](#), [data set], APRA website, 2023.

¹⁵ APRA, [Annual general insurance institution-level statistics](#), [data set], APRA website, 2023.

Motoring clubs in Australia

- 2.31 Motoring clubs have a long history of supplying motor insurance and other personal lines of general insurance as well as other member services, such as roadside assistance to their members.
- 2.32 Over time, several of the state-based motoring clubs have sold their insurance businesses to larger insurers and/or entered long-term exclusive distribution arrangements:
- **New South Wales and Australian Capital Territory:** The motoring club NRMA demutualised in 2000, separating its road services and insurance operations, and listed its insurance business on the ASX (later becoming IAG).
 - **Victoria:** In 1999, NRMA entered a joint venture with motoring club RACV, where NRMA (now, IAG) underwrites RACV-branded home and contents and motor insurance across Victoria, while RACV manages distribution and member engagement.
 - **Queensland:** In May 2025, the ACCC announced that it would not oppose IAG's proposed acquisition of a 90 per cent interest in RACQI, Queensland's motoring club insurance business. The deal included a 25-year exclusive distribution agreement for RACQ to sell insurance underwritten by IAG under the RACQ brand. The transaction completed on 1 September 2025.
 - **South Australia:** In June 2025, the ACCC announced that it would not oppose Allianz's proposed acquisition of the general insurance business of the Royal Automobile Association of South Australia (**RAA**), known as RAAI. The deal included a 20-year exclusive distribution agreement allowing RAA to sell insurance underwritten by Allianz under the RAA brand. On 1 July 2025, Allianz completed its purchase of RAAI.
 - **Northern Territory:** The Automobile Association of Northern Territory (**AANT**) has a long-standing partnership with CGU Insurance (acquired by IAG in 2003), where AANT distributes CGU-brand insurance as an authorised representative on behalf of CGU.
- 2.33 In Tasmania, in 2021 the Royal Automobile Club of Tasmania (RACT) acquired its insurance business back from Suncorp and now operates it independently. From 2007 to 2021, this business was operated as a 50:50 joint venture between RACT and Suncorp.

3. Market definition

- 3.1 The ACCC's starting point for considering which markets will be affected by the Acquisition is to identify the areas of overlap between the products actually or potentially supplied by the merger parties. The ACCC then considers other actual or potential suppliers of those products, as well as what other products constitute sufficiently close substitutes to provide a significant source of competitive pressure or constraint on the merged entity and its remaining rivals.¹⁶
- 3.2 IAG and RACI are both active in the supply of the following types of insurance in Western Australia:

¹⁶ ACCC, *Merger process guidelines*, 20 June 2025, paragraph A.13.

- motor insurance, including comprehensive car insurance, third party fire and theft, third party property insurance, caravan and trailer insurance, and motorcycle insurance (but excluding CTP insurance); and
 - home and contents insurance, including home (building) insurance, contents insurance, combined home (building) and contents insurance and landlord insurance.
- 3.3 Insurers acquire repair services as inputs to the supply of insurance. For motor insurance, these services include smash repair services, and windscreen repair and replacement services. For home and contents insurance these include building repair services. As such, IAG and RACI also overlap in the acquisition of the following services:
- motor vehicle smash repair services
 - windscreen repair and replacement services, and
 - building repair services.
- 3.4 Based on the material before it to date, the ACCC considers that the markets for the purposes of assessing the competitive effects of the Acquisition are likely to be:
- a market for the supply of motor vehicle insurance in Western Australia
 - a market for the supply of home and contents insurance in Western Australia, and
 - market/s for the acquisition of smash repair services in Western Australia and/or regions within Western Australia.

Product dimension

- 3.5 The Parties submit that an appropriate product dimension for the Acquisition is personal lines general insurance, which includes (among other products) motor vehicle insurance and home and contents insurance. In support of this, IAG identified certain supply side complementarities that exist between different personal lines general insurance products, such as branding and distribution efficiencies. Further, IAG notes that it is generally easier for existing suppliers of personal lines insurance products to expand their offering to include other personal lines insurance products than it is to achieve completely new entry.¹⁷
- 3.6 Notwithstanding these factors, the ACCC considers it is most appropriate to assess the acquisition by reference to separate product markets for each of (i) motor vehicle insurance and (ii) home and contents insurance because:
- there is no demand-side substitutability between motor vehicle insurance and home and contents insurance, and
 - while insurers can expand from one type of insurance to another, the time and investment required in achieving this means this is better understood as new entry, rather than supply-side substitution. Home and contents insurance is significantly more capital intensive than motor vehicle insurance. It involves more complex risk assessment, which requires different and more extensive data to set premiums. As such, rivals in the supply of motor vehicle insurance that are

¹⁷ IAG, Submission to ACCC, *Notification of proposed acquisition: submission in support of application*, 3 March 2026, p.26 para. 79.

seeking to move into also supplying home and contents insurance would face substantial challenges and costs.

- 3.7 The supply of both home and contents insurance and motor vehicle insurance involves two distinct activities – i) the underwriting of policies, and ii) the retail distribution of policies. The ACCC considers that there is a distinction between underwriters and distributors, and considers the most relevant frame of reference to assess the Acquisition is competition between underwriters, because decision about coverage and claims are generally made by the underwriter supporting the brand.
- 3.8 The ACCC also considers it is most appropriate to assess the acquisition by reference to separate markets for the acquisition of each of smash repair services, windscreen repair and replacement services (for motor vehicle insurance), and building repair services (for home and contents insurance) due to a lack of substitutability between these different types of repair service.

Geographic dimension

- 3.9 The Parties submit that the appropriate geographic dimension for the Acquisition is national.¹⁸ In support of this, the Parties note that:
- large Australian insurers tend to have a national presence;
 - customers' experiences when selecting and buying insurance is increasingly digitised, which means it is now less important that insurers have a local physical presence in a particular area;
 - insurers have regard to national considerations when making pricing decisions, which are considered alongside local risks on a postcode-by-postcode basis (rather than a state-by-state basis), and
 - insurers pool risks across customers in all states and territories for reinsurance purposes.¹⁹
- 3.10 The ACCC considers there is both demand and supply-side evidence that supports Western Australia as the relevant geographic scope of the market. As a result of the competitive dynamics from demand-side and supply-side factors, insurers' achieved market shares and margins vary significantly by State including the margins they earn.
- 3.11 In relation to the acquisition of motor vehicle smash repair services, given the limitations on how far customers would be willing to travel for these repair services, and likely regional variations in the number of repairers and customers, the ACCC is

¹⁸ IAG, Submission to ACCC, *Notification of proposed acquisition: submission in support of application*, 3 March 2026, p.26 para. 79.

¹⁹ IAG, Submission to ACCC, *Notification of proposed acquisition: submission in support of application*, 3 March 2026, p. 26 para. 79(i).

continuing to consider whether it is appropriate to assess the impact of the Acquisition on competition in regions of Western Australia.

4. Overview of competitive dynamics in personal lines insurance

Selecting an insurer and insurance product

- 4.1 Customers choose their insurer for home and contents insurance and motor vehicle insurance depending on multiple factors. These factors include price, coverage/policy features (including what types of events are covered, exclusions, and the excess payable on a claim), and the brand or reputation of an insurer (including customer's expectations, often based on their own previous interactions and claims experiences, of how the insurer will respond in the event the customer makes a claim and the claims handling experience).
- 4.2 In relation to motor vehicle insurance, customers typically consider the following specific elements when selecting an insurance product:²⁰
- Comprehensive or third-party insurance – customers will select whether they want to insure their motor vehicle for all accidents and damage or whether they only want insurance that covers damage that they cause to another person's motor vehicle or property while driving or damage to their vehicle from fire or theft;²¹
 - Agreed versus market value – customers will select whether they want insurance up to an agreed value (i.e. a specific amount) or at market value (i.e. the value of the vehicle at the time of the accident, determined by the insurer).
 - Choice of repairer – customers can select whether they choose where the motor vehicle is repaired or use the insurer's repairer in the event of accident.
 - Premium and discounts – customers pay an annual or monthly premium with potential discounts including when they do not claim (no claim bonus), when have multiple policies with the same insurer (multi-policy discount) and when they drive less regularly (low kilometres discount). The premium is also linked to the excess selected.
 - Excess – customers typically pay an excess when making a claim on the insurance policy, usually on a sliding scale. The excess can be \$0 when the accident is not the insured person's fault. The excess is linked to the premium paid – and a customer can choose a higher premium as a trade-off for a lower excess.
- 4.3 Similarly, for home and contents insurance, customers will consider specific elements when selecting an insurance product:²²
- Coverage – customers can choose a policy to address identified insured events. Typically, insurers cover for most common events (such as fire, storms, theft and

²⁰ Moneysmart.gov.au, Choosing car insurance, <https://moneysmart.gov.au/car-insurance/choosing-car-insurance>

²¹ Third party insurance is a broader term that covers a number of elements. Compulsory third party insurance is mandatory in Australia and this covers liability for personal injury or death caused to other people in a motor vehicle accident. Third party property insurance covers damage caused by the insured driver to another person's vehicle or property. Third party fire and theft insurance covers both theft of the insured vehicle and fire damage of the insured vehicle.

²² Moneysmart.gov.au, Choosing home insurance, <https://moneysmart.gov.au/home-insurance/choosing-home-insurance>

burglary and water damage) but some events such as floods, bushfires and cyclones are not automatically included (and in some regions, may not be insurable events).

- Sum insured – customers can select what they consider the estimated rebuild cost of their home is as well as the estimated replacement cost of the contents.
- Premium and discounts – customers pay an annual premium each year with potential discounts including when they do not claim or have a good claims history (no claim bonus), when they have multiple policies with the same insurer (multi-policy discount) or when there is a lower risk as the customer works from home often or has security systems in place (lower risk discount). The premium is also linked to the excess selected.
- Excess – customers typically pay an excess when making a claim on the insurance policy, usually on a sliding scale. The excess is linked to the premium paid – generally, the higher the excess, the lower the premium paid.

4.4 Personal lines insurance contracts such as motor vehicle and home and contents insurance typically last for one year, at which point the insurer makes the customer an offer to renew their policy for another year. Customers may choose to accept the insurer's offer, switch to an alternative insurer, or negotiate with their existing insurer over the price and terms (perhaps with the benefit of having obtained quotes from rivals).

4.5 CHOICE insurance surveys from 2025 show that the cost of living is currently an important element affecting customers' choice, with 'value for money' being the main reason why an insurer was selected by customers.²³ Another aspect that was important to customers of both types of insurance products was the claims experience.²⁴

Competing for customers

4.6 According to the Insurance Council of Australia, around 30 different insurers offer home and contents and motor insurance to Australian consumers.²⁵ Insurers rely on premium income to cover the cost of reinsurance, underwriting expenses, and operating expenses.²⁶ Insurers seek to maximise their profits by maximising their underwriting margin by attracting new customers as well as competing to retain existing ones. Insurers can compete for customers in a range of ways including:

- Price – this includes the upfront premium paid by the customer, and any discounts available to the customer, for example a discount for purchasing multiple insurance products or for being a new customer.
- Policy coverage – insurers may set some limits such as the maximum value of the asset the insurer recognises. Insurers may also include different levels of cover for certain events, and features such as whether customers can choose

²³ CHOICE, *CHOICE home insurance survey: RACQ in top spot for customer experience again*, 12 May 2025, <https://www.choice.com.au/money/insurance/home-and-contents/articles/home-insurer-satisfaction>, CHOICE, *CHOICE car insurance survey: RAA car insurance takes out top spot again*, 12 May 2025 <https://www.choice.com.au/money/insurance/car/articles/car-insurance-customer-satisfaction>

²⁴ CHOICE, *CHOICE home insurance survey: RACQ in top spot for customer experience again*, 12 May 2025, <https://www.choice.com.au/money/insurance/home-and-contents/articles/home-insurer-satisfaction>, CHOICE, *CHOICE car insurance survey: RAA car insurance takes out top spot again*, 12 May 2025 <https://www.choice.com.au/money/insurance/car/articles/car-insurance-customer-satisfaction>

²⁵ Insurance Council of Australia, *Australia's insurance industry snapshot 2025*, p.3, <https://insurancecouncil.com.au/>

²⁶ Insurance Council of Australia, *Australia's insurance industry snapshot 2025*, p.1, <https://insurancecouncil.com.au/>

their repairer, and whether they are covered for certain losses (e.g. personal valuable cover, accidental damage, etc.)

- Quality of service – insurers also have the ability to control their quality of service. This includes the claims handling process and how quickly the insurer can manage and pay out claims, as well as dispute handling procedures and more general customer services standards.
- Marketing – insurers typically increase marketing spend/share of voice to grow brand awareness and encourage switching when seeking to grow customer numbers.

4.7 Each insurer's ability to compete on these aspects will be determined by a range of factors including:

- Its funding position, including the costs the insurer faces to meet its claims obligations and fund improvements to its offer, such as through price reductions, coverage improvements and marketing.
- Its claims and support capability, including the infrastructure the insurer has to handle claims, arrange repairs and respond to customer needs.
- Its technical capability, including access to new technologies which can help improve pricing, risk assessment, claims processing and customer experience.²⁷ Current technological trends influencing the insurance industry include artificial intelligence, blockchain, cybersecurity, embedded insurance, quantum computing, and regulatory technology.²⁸

4.8 Insurers decide whether and when to compete for new customers and/or grow market share depending on various factors including their financial position and other capabilities, and can increase marketing spend, reduce prices, increase coverage and/or service quality in an attempt to do this.

4.9 An insurance brand can signal capabilities on elements of their offer that a customer cannot observe directly at the point of purchase, for example, claims handling, a critical element of the customer experience. An insurer builds a reputation over time for how well or poorly it handles claims with its reputation encapsulated in its brand. An insurance brand can therefore signal a range of attributes not otherwise apparent to a customer considering a quote. For example, non-profit or member-based organisations tend to be highly regarded by consumers.

5. Summary of preliminary competition assessment

The future with and without the Acquisition

5.1 The ACCC is considering the effects of the Acquisition by comparing the likely future state of competition if the Acquisition proceeds against the likely future state of competition if the Acquisition does not proceed.

²⁷ Insurtech Australia Market Report: Insurtech Down Under – Trends, Tech and Triumphs, March 2025, p.16, <https://insurtechaustralia.org/ia-resources/insurtech-australia-market-report/>

²⁸ Insurtech Australia Market Report: Insurtech Down Under – Trends, Tech and Triumphs, March 2025, p.16, <https://insurtechaustralia.org/ia-resources/insurtech-australia-market-report/>

- 5.2 The ACCC considers that the likely future competitive environment without the proposed acquisition would be the status quo, or continuation of the current state of competition. That is, RAC would continue to distribute motor insurance and home and contents insurance underwritten by RACI in Western Australia.
- 5.3 The ACCC is continuing to consider the likely future state of competition if the Acquisition does not proceed. However, for the purposes of this Notice, the ACCC's preliminary view is that:
- RACI is unlikely to exit the market and its offer is unlikely to weaken significantly (such that it might be considered a "failing" firm within the meaning of the ACCC's *Merger Assessment Guidelines*, or even a "flailing" firm)²⁹
 - while there are industry challenges, these appear to have lessened recently, and evidence suggests that RACI is well placed to continue to manage these challenges in the future without the Acquisition
 - in particular, RACI will continue to be viable as a stand-alone insurer in the future without the Acquisition because it is appropriately and adequately managing its capital position, its reinsurance program and its concentration risks
 - in the future without the Acquisition, RACI is likely to continue to be a strong competitor in the supply of motor vehicle insurance and home and contents insurance in Western Australia.

Competitive effects in the retail supply of motor vehicle insurance in Western Australia

- 5.4 The ACCC identified in the Phase 2 notice published on 17 April 2026 that the supply of motor vehicle insurance in Western Australia was an area in which it was satisfied that the Acquisition could have the effect or likely effect of substantially lessening competition. Since publishing the notice, the ACCC has continued to analyse the competitive effects of the Acquisition on the supply of motor vehicle insurance in Western Australia.
- 5.5 The ACCC's preliminary assessment is that the Acquisition would have the effect or be likely to have the effect of substantially lessening competition in the market for the supply of motor vehicle insurance in Western Australia because:
- The Acquisition would result in a substantial increase in IAG's market share and a significant increase in market concentration, combining the leading supplier (RACI) with the third largest insurer (IAG).
 - IAG and RACI both have strengths which make them effective competitors in the supply of motor vehicle insurance in Western Australia, with RACI holding a particularly dominant competitive position in Western Australia.
 - IAG and RACI are likely to continue to be effective competitors and have a strong ability and incentive to compete if the Acquisition does not proceed.
 - The Acquisition would eliminate the competitive pressure that RACI and IAG impose on each other.

²⁹ ACCC, *Merger Assessment Guidelines*, 20 June 2025, paragraphs B.11-B.12.

- The loss of competition between IAG and RACI is likely to have a meaningful effect on the process of competition in the supply of motor insurance in Western Australia, as other actual and potential insurers in the market are unlikely to provide an effective competitive constraint.

5.6 Accordingly, based on the current evidence before it, the ACCC considers the Acquisition would enable IAG to profitably increase the prices and/or reduce the service quality of its existing brand and RACI branded product offerings in the supply of motor insurance in Western Australia.

Market shares and concentration

- 5.7 The supply of motor vehicle insurance in Western Australia is highly concentrated, and the Acquisition would result in a significant increase in IAG's market share.
- 5.8 RAC is the largest supplier of motor insurance in Western Australia and has a significantly larger market share compared to any other insurer. IAG is the third largest motor insurer in Western Australia.
- 5.9 The ACCC considers the market shares of IAG and RACI are an indicator of their strengths as competitors over time. The Acquisition would consolidate an already concentrated market further, and result in IAG being substantially larger than other insurers, with a market share of 50–60%.

IAG is a strong competitor

- 5.10 The ACCC's preliminary assessment is that IAG is a strong and effective competitor in Western Australia.
- 5.11 IAG is one of the two largest personal lines general insurers in Australia. IAG also has a strong presence in Western Australia, where, as mentioned above, it is the third largest motor insurer.
- 5.12 IAG has several competitive strengths, including its digital capabilities and well-known NRMA brand. While NRMA is relatively new in Western Australia, the ACCC notes that it is a strong brand nationally that IAG could leverage in Western Australia.
- 5.13 As such, the ACCC considers that if IAG decided to focus more on growth in Western Australia, it could use its competitive advantages in relation to its branding, IT capabilities, as well as its financial resources to compete more strongly in Western Australia against RACI (and the other alternative providers) in the future absent the Acquisition.

RACI is the dominant provider of motor vehicle insurance in WA

- 5.14 The ACCC's preliminary assessment, based on the current evidence, is that RACI is the dominant provider of motor vehicle insurance in Western Australia given its high-quality offerings, competitive pricing, and strong brand reputation.
- 5.15 Based on its member-focused ethos and its history of relatively low prices, the ACCC considers it likely that RACI will continue to offer low prices in the future.
- 5.16 Further, the ACCC considers that RACI competes strongly on service quality, including customer service, which provides it with a key competitive advantage over rival insurers, providing significant brand strength. It is a member-owned organisation that has a focus on member satisfaction.
- 5.17 RACI also has a strong, trusted and resilient brand in Western Australia

- 5.18 RACI is a member-owned mutual organisation (and, effective from 26 June 2026, a company limited by guarantee) that has a focus on member satisfaction and is not solely focused on profit maximisation. This focus enhances RACI's market competitiveness, especially in pricing and customer service.
- 5.19 The ACCC is continuing to consider the extent to which RACI changing from a relatively member-focused organisation to a more shareholder focused company would impact the price and service quality of RACI branded insurance products post-Acquisition.

Loss of close competition between RACI and IAG

- 5.20 The ACCC's preliminary view is that RACI and IAG compete closely in Western Australia as two of the three largest suppliers of motor vehicle insurance in the state. The market shares represent the strength and prior investment in brands as well as competitive pricing, customer service and claims handling. Based on the evidence currently before it, the ACCC considers that the loss of competition between RACI and IAG as a result of the Acquisition would be significant.
- 5.21 Both RACI and IAG provide comprehensive and third-party insurance that are tailorable to the specific customer's vehicle, options such as insured value, excess, rental, windscreen and choice of repairer, as well as location in WA. As such, the policies can be made to be functionally highly substitutable, although a customer may have a different perception of brand quality between the products.
- 5.22 RACI and IAG compete against each other to be included in the consumer's choice set for quoting after receiving a renewal notice or a new policy on a new car.
- 5.23 While RACI has by far the most popular brand, IAG's brands are very strong in WA, being the third largest underwriter in motor, predominantly through its NRMA brand.

Distribution Agreement between IAG and RACI

- 5.24 As set out in paragraph 2.2 above, the Parties propose to enter a Distribution Agreement upon completion of the Acquisition. The ACCC is continuing to consider the impact the Distribution Agreement would have on competition post-Acquisition. However, the ACCC's preliminary view is that the Distribution Agreement is unlikely to provide a meaningful constraint on IAG's conduct in relation to the supply and pricing of RAC branded insurance products post-Acquisition.

Competition from remaining suppliers

- 5.25 The ACCC considers that alternative providers would continue to compete in the supply of motor insurance in Western Australia following the Acquisition. However, the ACCC considers that the loss of competition between IAG and RACI would have a significant effect on the competitive process, even with the presence of these alternative providers.
- 5.26 The ACCC's preliminary assessment is that there are limits on the competition provided by alternative suppliers operating in Western Australia.
- 5.27 As noted in Section 2 above, several suppliers in addition to IAG and RACI provide motor insurance in Western Australia. These include established insurers Suncorp, Allianz and QBE, and mid-tier insurers (also known as challenger brands) Auto & General (Budget Direct), Youi and Hollard.

- 5.28 The ACCC is continuing to consider the level of competition these alternative providers would provide post-Acquisition. In particular, the ACCC is continuing to investigate competitive dynamics in Western Australia, including how alternative providers have performed, how their performance differs from that in other states and territories, and any barriers they face to competing effectively in Western Australia.
- 5.29 The ACCC's assessment to date suggests that most of the established and mid-tier insurers have struggled to build and maintain market share in the supply of motor insurance in Western Australia. This contrasts with the position of established insurers in other Australian states, as well as the overall growth mid-tier insurers have achieved in other states. The relatively low market shares and growth appear to be due, at least in part, to the strong competitive position of RACI, including its high levels of brand awareness and customer loyalty.

Switching to and from other insurers

- 5.30 The ACCC considers the limited changes in market share over time - and net-churn rates - reflect the difficulty other insurers' brands have in winning customers away from their rivals in Western Australia. The switching data is broadly consistent with RACI's high market share, likely reflecting its enduring brand strength.
- 5.31 Switching rates capture where customers have gone after they have decided to switch. This occurs predominately at renewal time, after a customer receives a renewal notice from their current insurer. The 'achieved switching rates' by insurers are also broadly consistent with market shares suggesting consumers' brand preferences are in many cases entrenched.
- 5.32 The ACCC is continuing to investigate the level of competition for motor insurance in Western Australia provided by the alternative providers. However, the ACCC considers, on the evidence currently before it, that there are impediments to effective competition by alternative insurers, such that IAG would likely face materially weaker competition after the Acquisition.

Barriers to entry/expansion

- 5.33 Entry and expansion by rivals can provide an important source of competition to incumbents, however the ACCC will require robust evidence, typically including previous recent examples, to conclude that entry or expansion is sufficient to offset a loss of competition.³⁰
- 5.34 The ACCC considers, on the evidence currently before it, that there is a low likelihood of timely new entry or expansion on a sufficient scale to constrain IAG post-acquisition from significantly raising the prices or worsening the quality or terms of its own and its RACI-branded insurance products.
- 5.35 Barriers to entry and/or expansion applicable to the supply of motor insurance include significant capital requirements, high sunk costs, licensing timeframes, strict regulatory obligations, brand loyalty, and limited access to repair services networks and skilled employees.
- 5.36 There have been few genuine new entrants to the supply of motor vehicle insurance in Australia in recent years, with the most recent successful new entry being Youi in

³⁰ ACCC, Merger Assessment Guidelines, 20 June 2025, p.41, paragraph 6.2.

2008. The ACCC has not been able to identify any examples of likely new entrants able to provide a sufficient constraint on IAG in a timely manner.

Empirical analysis of the impact of the Acquisition

- 5.37 Empirical analysis of the impact of a merger in differentiated product markets include gross upward pricing pressure indexes (**GUPPIs**) and indicative price rises (**IPRs**).
- 5.38 GUPPIs and IPRs measure the incentive for the merged entity to raise prices post-merger, due to the ability of the merged entity to recapture sales lost after a price change. The measures are formulaic and are derived from firm profit maximisation in a monopolistic product market.³¹
- 5.39 The limitations with GUPPIs and IPRs are well recognised. First, it is often challenging to obtain suitable inputs to perform the calculations.³² Secondly, the estimates are static measures, not dynamic. In this respect, Dr Jill Walker has noted that:
- Neither UPPs nor IPRs take account of the likely competitive response from actual and potential rivals. For this reason, they cannot provide a complete analysis as to the likelihood of competitive harm arising from a merger. Rather they provide an alternative and more focussed way of filtering mergers for potential unilateral effects compared to calculating market shares.³³*
- 5.40 For these reasons, GUPPIs and IPRs are commonly used as a screening tool by competition agencies to approximate the post-acquisition price increases of products of the merged entities in mergers involving differentiated products.³⁴ These measures are rarely used as a primary support for a conclusion that a merger substantially lessens competition. Nevertheless, the ACCC considers that the results of these tools, can, where used appropriately and considered alongside other factors, form part of a holistic assessment of the likely competitive effects of an acquisition.
- 5.41 The Notification provided some estimates of GUPPIs and IPRs. While the ACCC is continuing to analyse the estimated price effects from the Acquisition including undertaking its own analysis, the ACCC's preliminary view is that the empirical analysis suffers from some weaknesses due to the assumptions made and modelling methodology adopted. Given this, the ACCC considers that there are reliability issues with the analysis. The ACCC also conducted its own empirical analysis. While preliminary, the ACCC's empirical analysis supports the view that there is likely to be a price effect from the Acquisition of a degree that may reflect a substantial lessening of competition.

Vertical effects in the supply of motor vehicle insurance in Western Australia

- 5.42 The ACCC is continuing to consider whether the Acquisition would have the effect of substantially lessening competition in the supply of motor vehicle insurance in

³¹ A monopolistic market describes markets where products are differentiated in a wide range of aspects. For example, a brand's perceived quality, customer experience, or trust. The result is a firm's products is unique with their market demand reflecting the degree of substitutability of the product with other firms' differentiated products.

³² See, for example: OECD, [Economic analysis in merger investigations – Background Note by Dr Jill Walker](#), 29 October 2020, paragraph 128;.

³³ OECD, [Economic analysis in merger investigations – Background Note by Dr Jill Walker](#), 29 October 2020, paragraph 127.

³⁴ Tommaso Valletti and Hans Zenger, 'Mergers with Differentiated Products: Where Do We Stand?', 9 February 2021, 58 Review of Industrial Organization 179.

Western Australia and/or certain regions of Western Australia by providing IAG with the ability and incentive to foreclose or partially foreclose competing insurers' access to repair services. This could occur through IAG, post-Acquisition, requiring partial or full exclusivity from smash repairers, effectively restricting rival insurers' access to repairers and/or raising their costs of acquiring repair services or lowering their quality of service.

- 5.43 The Acquisition could increase IAG's bargaining power vis-à-vis repairers. Post acquisition, IAG with its market share of 50 – 60% in motor vehicle insurance would likely be the largest acquirer of smash repair services in Western Australia by a considerable margin. This could enable IAG to enter into exclusive supply arrangements with smash repairers, require its customers' repair claims to be prioritised or require smash repairers to maintain spare capacity to enable its customers' repairs to be undertaken promptly and ahead of other insurers' smash repair work.
- 5.44 The ACCC is awaiting data and will consider this issue once it has received the data.

Competitive effects in the acquisition of motor vehicle smash repair services

- 5.45 The ACCC is continuing to consider whether the Acquisition would have the effect of substantially lessening competition in the acquisition of motor vehicle smash repair services in Western Australia and/or certain regions of Western Australia.
- 5.46 The Acquisition would result in IAG having a market share of 50 – 60% in motor vehicle insurance, meaning that it would be a significant purchaser of smash repair services (given insurer purchases represent a significant proportion of smash repair revenue).
- 5.47 Several of the factors informing the ACCC's concerns about competitive effects in the supply of motor vehicle insurance are relevant to the assessment of the competitive effects in the acquisition of smash repair services. In addition to IAG's large post-Acquisition market share, the apparent limits on the competitive constraint provided by other insurers, and their challenges in gaining market share, contribute to the ACCC's concerns in this market.
- 5.48 As such, the Acquisition could result in IAG gaining monopsony power in the acquisition of smash repair services in Western Australia and/or certain regions in Western Australia.
- 5.49 The ACCC is awaiting data which may help inform its assessment and will consider this issue further once it has received the data.

Competitive effects in the supply of home and contents insurance in Western Australia

- 5.50 The ACCC identified in the Phase 2 notice published on 17 April 2026 that the supply of home and contents insurance in Western Australia was an area in which it was satisfied that the Acquisition could have the effect or likely effect of substantially lessening competition. Since publishing the notice, the ACCC has continued to analyse the competitive effects of the Acquisition in the supply of home and contents insurance in Western Australia.

- 5.51 The ACCC's preliminary assessment is that the Acquisition would have the effect or be likely to have the effect of substantially lessening competition in the market for the supply of home and contents insurance in Western Australia because:
- The Acquisition would result in a material increase in IAG's market share and a material increase in market concentration, combining the leading supplier (RACI) with the third largest supplier (IAG).
 - IAG and RACI both have significant strengths which make them effective competitors in the supply of home and contents insurance in Western Australia, with RACI holding a particularly dominant competitive position in Western Australia.
 - IAG and RACI are likely to continue to be effective competitors and have a strong ability and incentive to compete if the Acquisition does not proceed.
 - The Acquisition would eliminate the competitive pressure that RACI and IAG exert on each other.
 - The loss of competition between IAG and RACI is likely to have a meaningful impact on the process of competition in the supply of home and contents insurance, despite the presence of other insurers who compete in the market, as other actual and potential insurers in the market are unlikely to provide an effective competitive constraint.
- 5.52 The ACCC considers that the Acquisition would likely enable IAG to profitably increase the prices and/or reduce the service quality of its existing brand and RACI brand product offerings in the supply of home and contents insurance in Western Australia.
- 5.53 The issues canvassed in relation to motor vehicle insurance from paragraph 5.5 above, are also relevant to the discussion of the competitive effects in the supply of home and contents insurance. There are some additional points and differences set out below.
- 5.54 The ACCC recognises that the supply of home and contents insurance is less concentrated than the supply of motor insurance in Western Australia. However, it is still highly concentrated and the Acquisition would result in IAG being considerably larger than other insurers, with a market share of around 45 – 55%.
- 5.55 The ACCC has received similar feedback to motor vehicle insurance about the challenges faced by alternative providers in growing their position in Western Australia, with some third party insurers noting that they have experienced difficulties increasing their market share in Western Australia compared to the rest of Australia, and that their margins in Western Australia are significantly lower than in other states.
- 5.56 The ACCC considers barriers to entry into the supply of home and contents insurance are higher than for motor vehicle insurance. As noted in Section 3, home and contents insurance is significantly more capital intensive than motor vehicle insurance. It also involves more complex risk assessment, which requires different and more extensive data to set premiums. As such, rivals seeking to expand from supplying motor vehicle insurance to home and contents insurance would incur substantial challenges and costs.

6. Next steps

- 6.1 Following the release of the NOCC, and consistent with section 51ABZL of the Act, the notifying party IAG has an opportunity to respond to the preliminary issues identified in the NOCC by 1 July 2026.
- 6.2 Under the current statutory timeframe, the ACCC must issue a determination in response to the Acquisition by 26 August 2026.